

50pick — Payout & Fee Review

Jay's proposal vs what we run today · prepared 22 Jul 2026 · one-page summary for the team

Worked example (Jay's own numbers): a Yes/No question. The YES side bets a total of **16,000**, the NO side **650,000** → total pot **666,000**. In both models everyone's bet goes into one pot; winners get their stake back **plus** a share of the losers' money; the house takes a small cut. **The game is the same — Jay got that right.** The disagreements are only the two items below.

1 · THE HOUSE CUT

	What we have now	What Jay proposes
Rule	10% of the pot, capped at 1/3 of the smaller side	Flat 13% of the <i>losing</i> side
Cut if YES wins	5,333	84,500
Cut if NO wins	5,333	2,080
Same cut whoever wins?	Yes — required by our licence	No — it changes with the result
Expected earnings*	≈ 5,333	≈ 4,060

*weighted by the real odds (NO is the heavy favourite). Jay's fee earns us slightly LESS, not more.

2 · SHOWING PLAYERS A "POSSIBLE WINNINGS" NUMBER

WE HAVE We show **no** payout number before a bet (licence rule); the **real** **JAY** Show "you could win **1.5× your stake**." But that number is fixed and figure appears the moment betting closes.

Player	Jay tells them	Jay's own payout page pays	Problem
Jimmy — bet 1,000 on YES	1,500	36,344	off by 24×
Jay — bet 100,000 on NO	150,000	102,142	promises 47% MORE than we pay

3 · WHERE JAY'S SHEET IS WRONG

- His two pages disagree.** He tells players "1.5×" but his own payout math pays something entirely different (table above). Promising more than we pay is misleading and against our rules.
- His fee changes with the winner** (84,500 vs 2,080 on the same bets). A licensed pool game needs the cut to be the same either way.
- 13% doesn't earn more** — it's actually a bit less (≈4,060 vs 5,333). The main reason to switch doesn't hold.
- His payouts aren't whole shillings** (e.g. 35,343.75, 2,141.54). He has no rule for the leftover, so the money doesn't balance. Ours does.
- He skips the edge cases** — e.g. everyone bets one side only. His sheet has no answer; ours refunds everyone.
- Wrong wording** — he calls it "odds 0.5 | 0.5." A pool game has *no fixed odds*; the payout comes from the pot.

Recommendation — keep what we have. Jay clearly understands the game, and his core engine matches ours. But both of his **changes** are a step backward: the 13% fee makes no extra money and breaks a licence rule, and the "1.5×" figure misleads players. If we ever show a pre-bet number, it must be the **real** pool-based figure with an "estimate — will change" note, never a fixed multiplier.

Reference: live engine in `src/lib/payout.ts` (fee = min(10% of pot, 1/3 of smaller side); same fee whoever wins; winners never paid below stake; exact whole-shilling rounding). Full write-ups: `Proposal/JAY-MODEL-REVIEW.md` and `docs/FEE-MODEL-DECISION.md`.